Some commenters questioned the likelihood of any potential competing consolidators entering the market because of the uncertainty associated with the proposed transition period.[2139] One commenter questioned whether market participants would have incentives to make large investments before the effective national market system plan(s) sets data content fees.[2140] Another commenter stated that potential entrants would have to make large investments "but would have no ability to earn any returns on those investments—or estimate when or if such returns would be realized—until after the Commission has elected to transition to the decentralized model."[2141]

The Commission believes that three aspects of the adopted transition period, discussed above,[2142] addresses the issues raised by the commenters. First, potential competing consolidators will be able to see and comment on the data content fees before deciding whether to register and become a competing consolidator. This will eliminate some of the uncertainties about the potential value of the new competing consolidator business. Second, in phase one, following the development and testing periods, potential competing consolidators will be able to start operating and earn revenues as soon as they complete their test period. Thus competing consolidators would not be making large investments to earn potential future returns at an uncertain time.[2143] Finally, the Commission will implement an initial registration period with the following two features designed to encourage entry into the new competing consolidator

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2139 See NYSE Letter II at 15, 16; IDS Letter I at 8, 9. See Proposing Release, 85 FR at 16794–95 for a discussion of the transition period.

2140 See IDS Letter I at 8.

2141 See NYSE Letter II at 16.

2142 See supra Section III.H for a discussion on the three phases of the transition period.

2143 See supra note 1356 for a discussion on the length of time it might take to reach this point in the transition to the decentralized consolidation model.

business space. The first feature is the limited initial registration period, which limits market participants' ability to enter the competing consolidator market until after the exclusive SIPs are retired, if they miss the first wave. This feature could encourage entry because being in the initial wave of competing consolidators could help market participants achieve a first mover advantage and capture some market share. However, the registration requirements for potential competing consolidators are the same whether they enter during the initial registration period or after the exclusive SIPs are retired. If a potential competing consolidator enters in the second wave, they will miss the opportunity to have a first mover advantage, but otherwise will go through the same registration process. The second feature is the disclosure of market participants' identities shortly after their filing of a Form CC.[2144] This feature, in combination with the first one, could encourage entry because once potential competing consolidators start to register, these disclosures will signal that there are market participants interested in becoming competing consolidators in addition to revealing their identities. This could encourage other potential competing consolidators to register instead of adopting a wait-and-see approach.

Lastly, one commenter stated that the Commission "fails to consider the possibility that, once the new model was in place, sufficient numbers of competing consolidators could cease operations, resulting in a system that is not viable."[2145] The Commission acknowledges that after the new model is established, there might be some on-going entry and exit of competing consolidators, an expected economic dynamic just like in every other market place. However, the Commission believes that there is no reason for the economic conditions of the market to change drastically to lead to a wave of competing consolidator exits and a consolidated market

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2144 See supra Section III.C.7(i)(ii) for a discussion on the disclosure of an initial Form CC filer's identity.

2145 See IDS Letter I at 9.

data space without enough competition for two reasons. First, demand for consolidated market data products is not likely to dramatically decline over time, because market participants need certain consolidated market data products for regulatory compliance. Second, supply by competing consolidators is also unlikely to decline dramatically because as discussed above,[2146] a competing consolidator is required to provide 90 calendar days' notice of its cessation of operations. This advance notice will provide enough time for new competing consolidators to enter the market or existing competing consolidators to expand their products and services to meet any unmet demand stemming from a competing consolidator's exit.

(b) Analysis of the Impact on Data Fees

The introduction of the decentralized consolidation model is likely to reduce the fees market participants will pay for consolidated market data. When comparing data fees for the consolidated market data with current data fees, this economic analysis holds data content constant. In other words, the fee comparison in this analysis is between what market participants will pay under the amendments versus what they currently would have to pay to access the same content. Specifically, the analysis finds that the amendments are likely to reduce, and unlikely to increase, fees paid for the equivalent of consolidated market data as well as the fees paid for the equivalent current SIP content. This effect on fees underlies the potential for many of the benefits and costs discussed above in Section V.C.1 and below in Section V.D.1 to be realized.

(i) Fees for Consolidated Market Data Content

The Commission believes that the total fees for the equivalent of consolidated market data (i.e., data content, consolidation and dissemination, and connectivity fees) are likely to

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[2146] See supra Section III.C.7(g)(ii) for a discussion on the requirements to file a notice of cessation.

decline because of the amendments, but recognizes uncertainty about how the effective national market system plan(s) will set the fees for data content underlying consolidated market data offerings[2147] and how SROs will set the fees for connectivity necessary to receive the data content underlying consolidated market data as well as how the competing consolidators will price their services. As a result of lower fees, some market participants will choose to purchase more market data content than they purchase today, such as purchasing the expanded core data. The likelihood of this outcome will depend on the difference between total fees for consolidated market data and current total fees for equivalent data content.[2148]

The Commission believes that three sets of fees may be affected as a result of this rule: fees for data content underlying consolidated market data offerings, fees for the consolidation and dissemination of consolidated market data products, and fees for the connectivity services necessary to receive the data content underlying consolidated market data from the SROs.[2149]

2147 Several commenters agree. See, e.g., NYSE Letter II at 19–20; STANY Letter II at 5.

2148 The economic effect of more market participants purchasing expanded core data is discussed above in Section V.C.1(c).

2149 The first two fees are currently bundled into a single fee, which covers SROs' data and the exclusive SIPs' operations such as consolidation and dissemination of data. The amendments will unbundle these two components and will allow competing consolidators to provide the data consolidation and dissemination services. Under the rule, the fee for data content will be set by the effective national market system plan(s). See supra Section III.E.2(c) and Proposing Release, 85 FR at n.96 for a discussion on the amendments to the provision regulating effective national market system plan(s) fee filings. Within 150 days of the effectiveness of Rule 614, the Operating Committee(s) of the effective national market system plan(s) will be required to propose the data content fees for the SROs' data required to create consolidated market data and will then file the proposed fees with the Commission for consideration pursuant to Rule 608. See supra Section III.H.1. Competing consolidators will likely charge a second fee for their consolidation and dissemination services, which could also include associated costs for data access at exchanges and transmission of data between data centers. The fees for data consolidation and dissemination will be determined by competition among competing

a. Data content fees

The Commission believes that the fees for the data content used to create consolidated market data are unlikely to increase and actually will likely be lower than today's fees for equivalent data,[2150] because the effective national market system plan(s) would have to satisfy the statutory standards that apply to such data. In addition, fees for data content underlying consolidated market data will be subject to a notice and comment period and Commission approval. As discussed above, the fees for the data content underlying consolidated market data must be fair, reasonable and not unreasonably discriminatory. One method for demonstrating compliance with such requirements is that fees are reasonably related to costs; this has been the principal method discussed by the Commission for analyzing the fairness and reasonableness of such fees for core data since the Market Information Concept Release.[2151]

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consolidators. Finally, SROs currently charge connectivity fees for both exclusive SIP and proprietary data feeds. Under the amendments, SROs could charge connectivity fees to competing consolidators and self-aggregators, which must be consistent with statutory standards. Currently, connectivity fees are charged to the market participants that connect to the exchange and not to end users. See Proposing Release, 85 FR at n.1017. Competing consolidators could charge connectivity fees to end users, which will be subject to competitive forces.

2150 The Operating Committee(s) of the effective national market system plan(s) will have to propose the data content fees for the SROs' data required to create consolidated market data and will then file the proposed fees with the Commission for consideration pursuant to Rule 608, within 150 days of the effectiveness of Rule 614. See supra Section III.H.2.

2151 For the purposes of this section, the Commission assumes that the Operating Committee of the effective national market system plan(s) will set fees for data content underlying consolidated market data offerings that are reasonably related to costs. See III.E.2(c) for a discussion of the statutory standards for fees on the data content underlying consolidated market data. See also supra note 21.

The Commission believes that the fees for consolidated market data will likely be subject to downward pressure. Specifically, the new data content underlying consolidated market data (i.e., depth of book data, auction information, and odd-lot information) are currently elements of proprietary data products, which are assessed under the statutory standards that apply to proprietary data and are effective on filing.[2152] However, fees for data content underlying consolidated market data will be developed and proposed by the effective national market system plan(s) and will be subject to notice and comment.[2153] As stated above,[2154] the fees for the data content underlying consolidated market data must satisfy the statutory standards of being fair, reasonable, and not unreasonably discriminatory. The Commission has historically analyzed fees for consolidated SIP data generated under the national market system plans using a standard under which fees are reasonably related to cost, while its analysis of proprietary data fees has not been limited in this manner.[2155]

Under such methodology, data content fees are likely to decrease because between 2010 and 2018, the proprietary data feed portion of the current fees for equivalent data appears to have increased at a rate that seems unlikely to have been based on costs.[2156] To the extent that the

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2152 See supra Section III.B.6. These statutory standards include Section 6(b)(4) of the Exchange Act and Section 11A(c)(1)(D) and Rule 603(a) under Regulation NMS.

2153 See Effective-Upon-Filing Adopting Release, supra note 17.

2154 See supra Section III.B.6 and Section III.E.2(c).

2155 See supra Section III.E.2(c); see also notes 1175 and 1178.

2156 See supra Section V.B.2(d); see, e.g., AHSAT Letter at 1; Better Markets Letter at 4.

exchanges have generally not attempted to justify their proprietary data fees on a cost basis but instead relied on other justifications, their fees seem to have outpaced their costs.[2157]

The Commission believes that fees for content equivalent to the data content of consolidated market data will not increase because the downward pressure on fees noted above will not permit the fees for consolidated market data to be greater than the sum of the current fees for individual data components. Currently, market participants who want to access content equivalent to the data content of consolidated market data need to separately purchase SIP data and additional data elements from each exchange via proprietary data feeds.[2158] As discussed in

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[2157] In a comment letter, IEX provided data that the SRO markups on proprietary data may be large. In particular, IEX compared its own costs of providing proprietary market data with the fees charged by other exchanges for comparable produces and found markups of 900–1,800 percent. See Katsuyama Letter II; Letter from John Ramsay, Chief Market Policy Officer, Investors Exchange LLC, to Brent J. Fields, Secretary, Commission (Feb. 4, 2019) (discussing the "all-in" cost to trade concept advocated by other exchanges). Additionally, in a letter submitted in advance of the Market Data Roundtable, one commenter stated that "[t]he Exchanges have formulated pricing schemes that layer in redundant costs and fees which raises the true cost of market data well above the costs of producing and distributing the data" and that "the Exchanges impose multiple synthetic access fees for participants to physically connect to obtain the required data; these costs bear no relation to the Exchanges' actual cost of the connectivity." See letter from Douglas A. Cifu, Chief Executive Officer, Virtu Financial, to Brent J. Fields, Secretary, Commission, dated Oct. 23, 2018, at 3, 5, available at https://www.sec.gov/comments/4-729/4729-4558490-176196.pdf.

[2158] Currently, fees for SIP data and proprietary data are generally charged based on the number and type of end user of the data. For example, the CTA/CQ Plan Schedule of Charges distinguishes fees by professional and nonprofessional subscribers and the number of devices. See CTA Plan, Schedule of Market Data Charges, supra note 1734; Proposing Release, 85 FR at n.1511. The Nasdaq UTP Plan, Exhibit 2 provides separate fees for non-professionals and per device fees. See Proposing Release, 85 FR at n.13 for Nasdaq UTP Plan. Similar user distinctions are made in proprietary data products. See Nasdaq, Price List – U.S. Equities, available at www.nasdaqtrader.com/Trader.aspx?id=DPUSdata#tv (last accessed Jan. 30, 2020) (showing Nasdaq TotalView usage fees, which provide fees for professional and non-professional subscribers); NYSE Proprietary Market Data Fees (as of Nov. 4, 2019),

the Proposing Release,[2159] the Commission understands that SRO proprietary feeds for depth of book data are more expensive than the exclusive SIP feeds.[2160] The Commission believes that a combination of these data elements, in the form of consolidated market data, is unlikely to be priced more than the sum of its parts.

Finally, the Commission would not expect fees for content equivalent to the data content of consolidated market data to be higher, because under the amendments the SROs are not required to incur significant new costs by creating a separate dedicated data feed and connectivity system. The amendments allow the SROs to use their existing proprietary data and connectivity infrastructure to provide the data content underlying consolidated market data.[2161] This provision will likely reduce the SROs' implementation costs, further limiting the probability that the fees proposed by the effective national market system plan(s) for the data content

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available at https://www.nyse.com/publicdocs/nyse/data/NYSE_Market_Data_Fee_Schedule.pdf (showing the NYSE Integrated Feed fee schedule, which distinguishes between professional and non-professional users).

2159 See Proposing Release, 85 FR at 16839. See also supra Section I.B.

2160 Several commenters supported this statement, some of whom stated that the fees for the exchanges' proprietary data makes it hard for them to fulfill their regulatory requirements. See, e.g., AHSAT Letter at 1; Better Markets Letter at 4. But another commenter stated that this statement represents an "apples-to-oranges" comparison, because a DOB feed contains more information than the exclusive SIP feeds. See Nasdaq Letter IV at 49. The Commission is aware that there is more information in the DOB feeds than the SIP feeds; the comparison in this statement is of the SIP data fees to the proprietary data fees to explain how the two current data content components' underlying consolidated market data are priced. This is because today any market participant that wants to get data content equivalent to consolidated market data would have to pay for certain DOB feeds as well as the SIP data feeds.

2161 See supra Section III.B.9(b) for a discussion on how the SROs will provide the data content underlying consolidated market data.

underlying consolidated market data will be higher than the current fees for equivalent data.[2162] In addition, the Commission does not believe that the rule will significantly increase SRO costs specifically for distributing data.[2163] However, the exchanges could shift the allocation of fixed exchange costs to consolidated market data from some of their proprietary data.[2164] The Commission lacks the necessary information to ascertain those impacts.

b. Consolidation and Dissemination Fees

The Commission believes that data consolidation and dissemination fees for consolidated market data products will be lower than consolidation and dissemination fees market participants currently pay to receive equivalent data for two reasons.[2165]

First, to receive data equivalent to consolidated market data today, market participants would have to pay separately for a portion of exclusive SIPs' cost to perform consolidation and dissemination of market data and a fee for consolidation and dissemination of additional data content underlying consolidated market data that are available via third-party providers of proprietary market data, who face competitive pressures. As discussed above,[2166] exclusive SIPs are not constrained by competition and thus have lower incentives to reduce their costs. By comparison, the Commission expects that competition among competing consolidators will put downward pricing pressure on these service fees, because competing consolidators will have

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2162 See supra Section V.C.1(c)(iv).

2163 See id.

2164 One commenter agreed with the Commission's assessment however did not provide any analysis or data. See BlackRock Letter at 5. See also infra Section V.C.4(a) for a discussion of the likely effects of the rule on the revenues exchanges receive for proprietary data.

2165 Some commenters agreed. See, e.g., IntelligentCross Letter at 5.

2166 Several commenters agreed. See, e.g., DOJ Letter at 5; MFA Letter at 2; AHSAT Letter at 1. See also supra Section V.A.2.

incentives to undertake investments intended to lower costs and improve quality in the provision of consolidated market data products. Competing consolidators will be competing over market share. Unlike in today's world of exclusive SIPs, under the amendments, a competing consolidator's inefficiencies or lack of desirable products could lead to its clients switching to another consolidated data vendor and that competing consolidator losing market share or even getting driven out of the market. The Commission recognizes that the stronger the competition among competing consolidators, the harder it would be for any given competing consolidator to increase its consolidation and dissemination fees and make supra-competitive profits from these services.[2167]

Second, the fixed costs of the competing consolidators could be spread out among its subscribers, including subscribers to services provided by the competing consolidators that are not covered by the fees established by the effective national market system plan(s) such as, for example, proprietary data customers that might be purchasing their data from competing consolidators that also sell consolidated market data products. Consolidation and dissemination fees that competing consolidators will charge for equivalent data are expected to cover several associated costs, including fixed costs of hardware and software, processing to take in data, processing for consolidation (including compiling the NBBO and protected quotes), distribution of the data, and connectivity fees paid to exchanges to acquire the data for consolidation. The variable costs of the competing consolidators will be minor in comparison because additional data users will have a minimal impact on the costs of competing consolidators. Because having more subscribers could help competing consolidators spread out their fixed costs, any increase in

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[2167] See infra Section V.C.2(c) for a discussion on the benefits of the decentralized consolidation model.